

Human Resource Management

TWELFTH EDITION



Gary Dessler | Biju Varkkey

ALWAYS LEARNING

PEARSON

Human Resource Management

TWELFTH EDITION

GARY DESSLER

BIJU VARKEY

Part 1 | Introduction

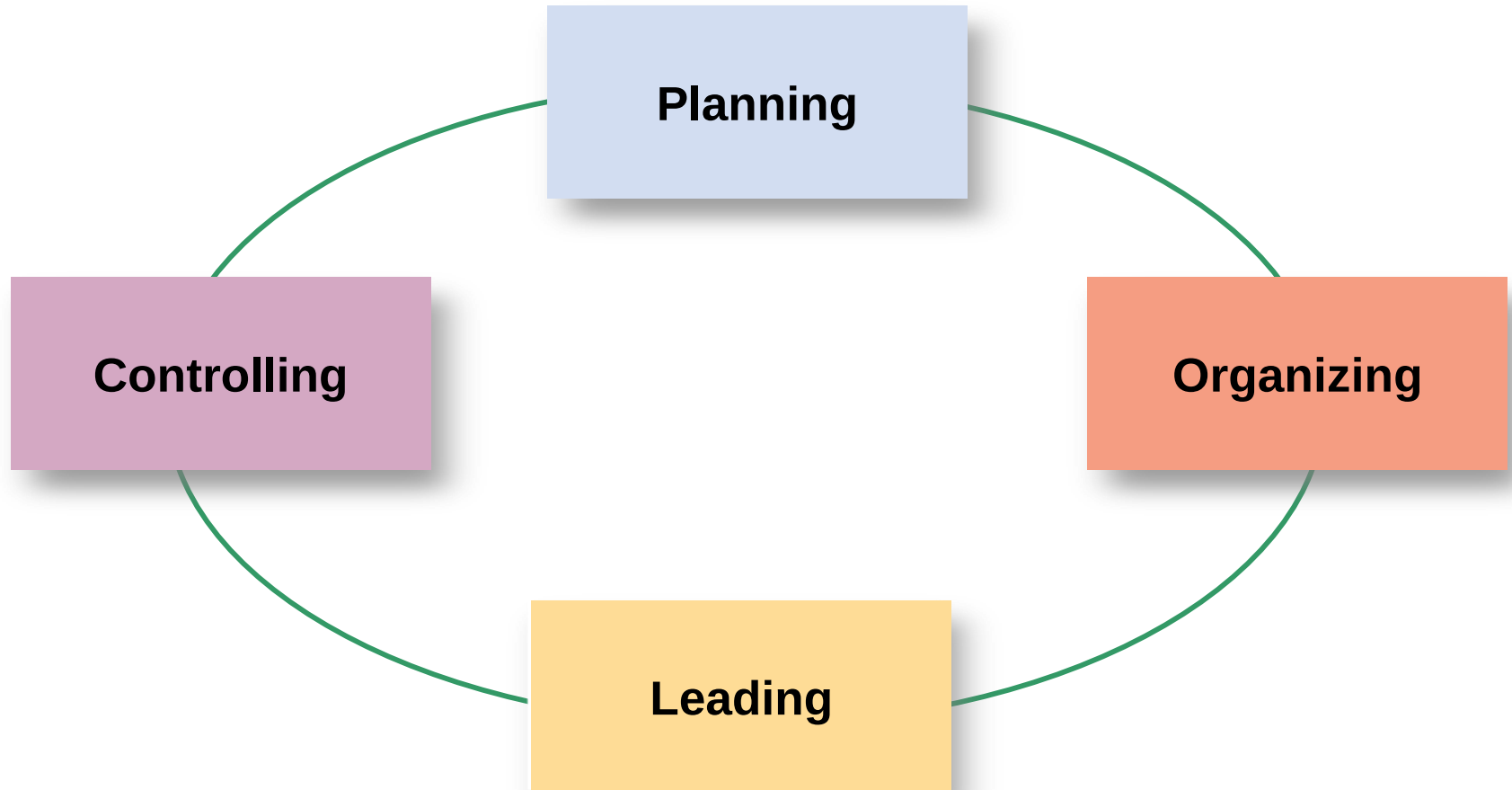
Chapter 1

Introduction to Human Resource Management

After studying this chapter, you should be able to:

1. Explain what human resource management is and how it relates to the management process.
2. Give at least eight examples of how all managers can use human resource management concepts and techniques.
3. Illustrate the human resources responsibilities of line and staff (HR) managers.
4. Provide a good example that illustrates HR's role in formulating and executing company strategy.
5. Write a short essay that addresses the topic: Why metrics and measurement are crucial to today's HR managers.
6. Outline the plan of this book.

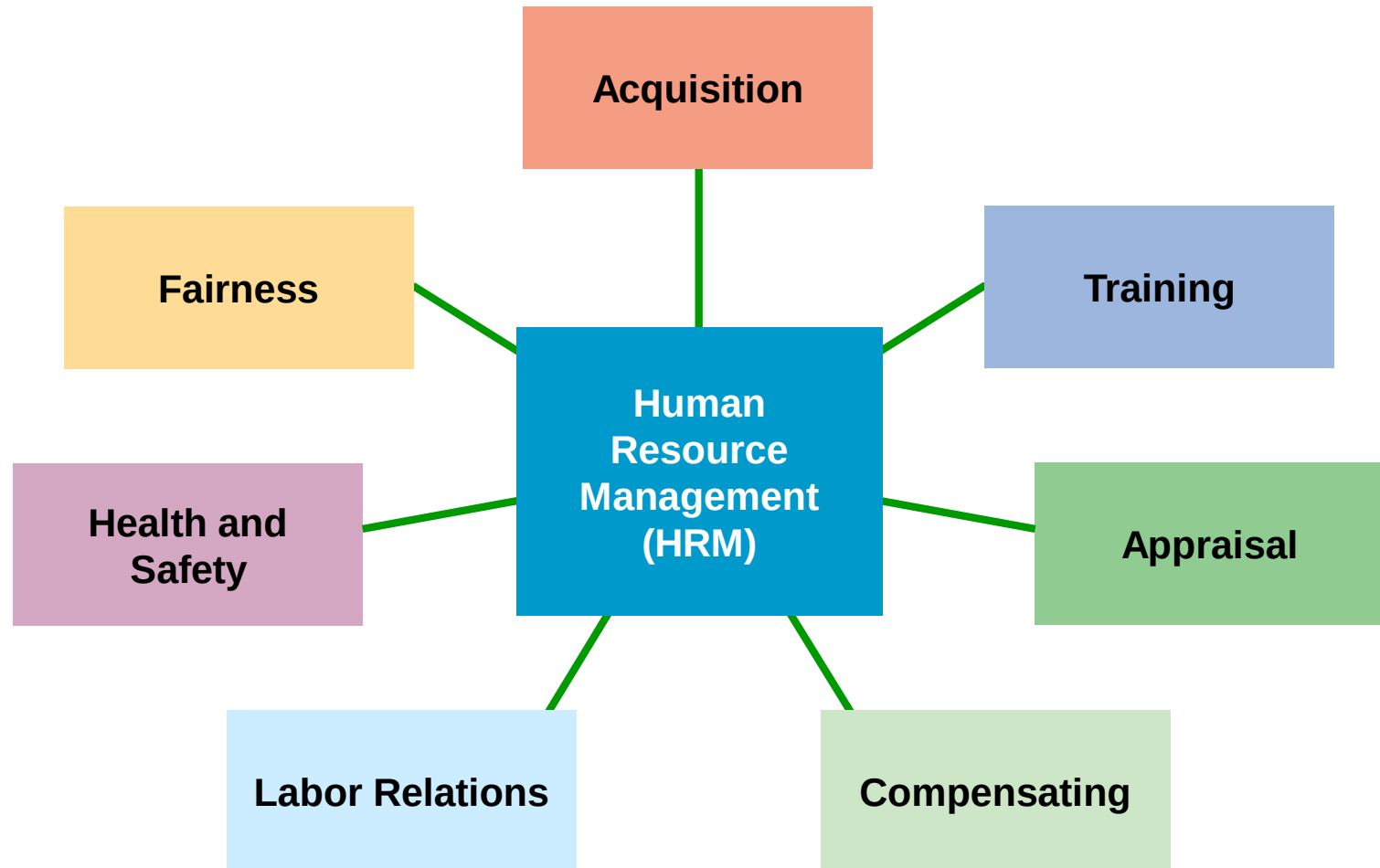
The Management Process



Human Resource Management at Work

- What Is Human Resource Management (HRM)?
 - The policies and practices involved in carrying out the “people” or human resource aspects of a management position, including recruiting, screening, training, rewarding, and appraising.

Human Resource Management at Work



Personnel Aspects of a Manager's Job

- Conducting job analyses
- Planning labor needs and recruiting job candidates
- Selecting job candidates
- Orienting and training new employees
- Managing wages and salaries
- Providing incentives and benefits
- Appraising performance
- Communicating
- Training and developing managers
- Building employee commitment

Personnel Mistakes

- Hire the wrong person for the job
- Experience high turnover
- Have your people not doing their best
- Waste time with useless interviews
- Have your company in court because of discriminatory actions
- Have your company cited by labor inspectors for unsafe practices
- Have some employees think their salaries are unfair and inequitable relative to others in the organization
- Allow a lack of training to undermine your department's effectiveness
- Commit any unfair labor practices

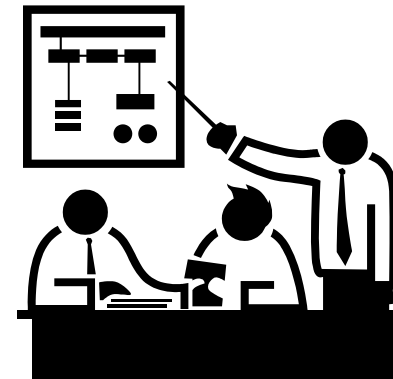
Basic HR Concepts

- The bottom line of managing:
Getting results
- HR creates value by engaging in activities that produce the employee behaviors that the company needs to achieve its strategic goals.



Line and Staff Aspects of HRM

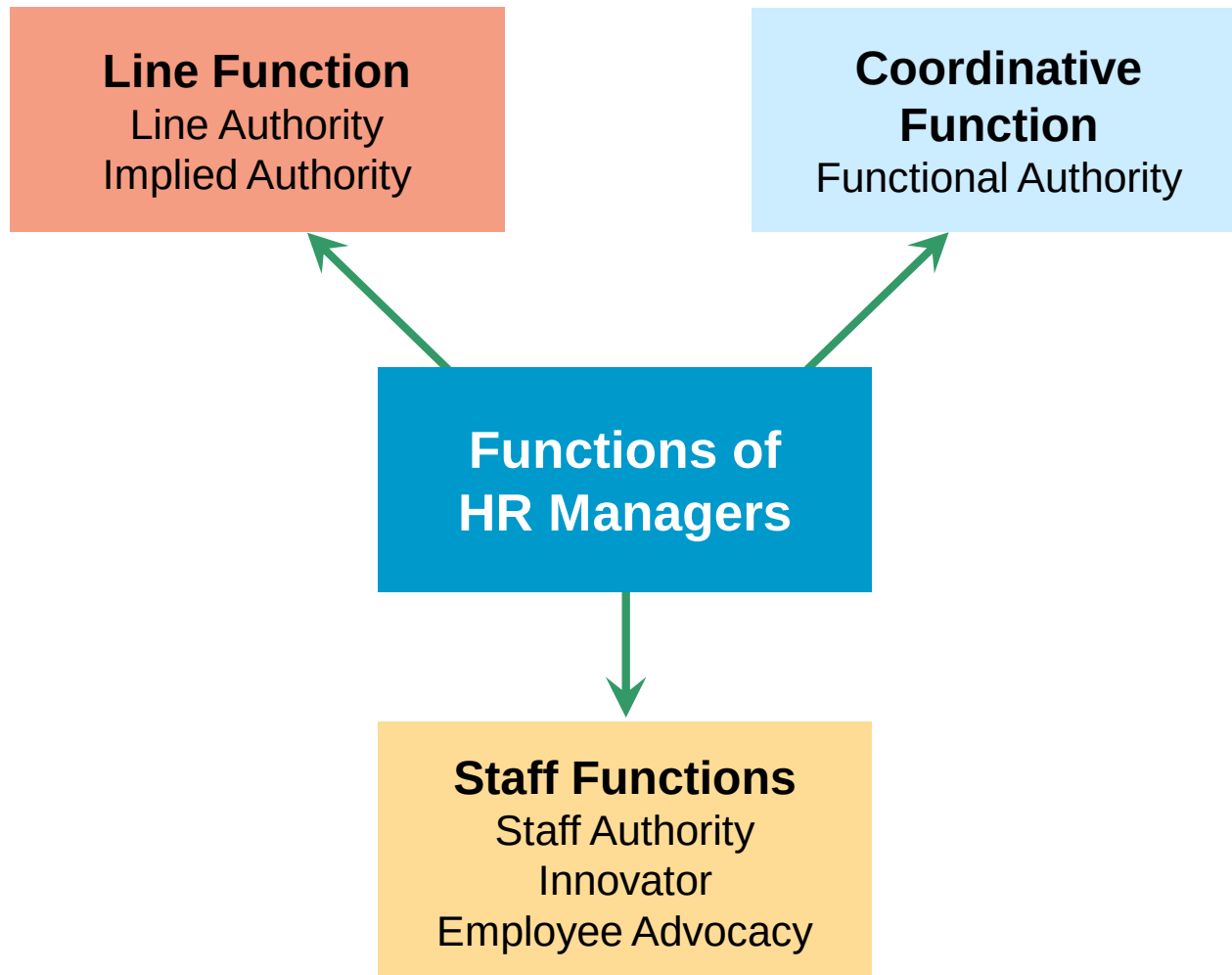
- Line manager
 - A manager who is authorized to direct the work of subordinates and is responsible for accomplishing the organization's tasks.
- Staff manager
 - A manager who assists and advises line managers.



Line Managers' HRM Responsibilities

1. Placing the right person on the right job
2. Starting new employees in the organization (orientation)
3. Training employees for jobs that are new to them
4. Improving the job performance of each person
5. Gaining creative cooperation and developing smooth working relationships
6. Interpreting the firm's policies and procedures
7. Controlling labor costs
8. Developing the abilities of each person
9. Creating and maintaining department morale
10. Protecting employees' health and physical condition

Human Resource Managers' Duties



Human Resource Specialties



FIGURE 1-1

HR Organization Chart for a Large Organization

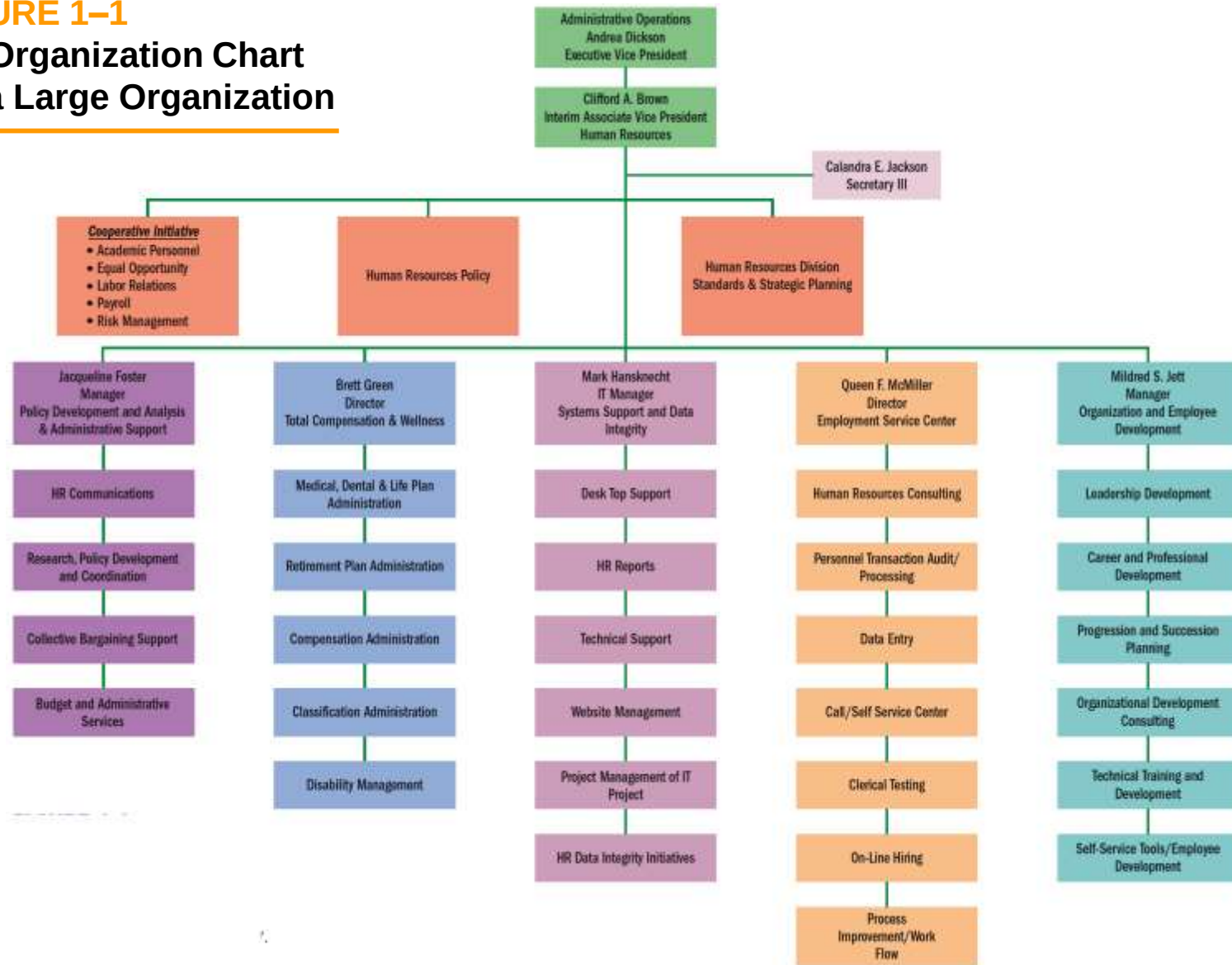
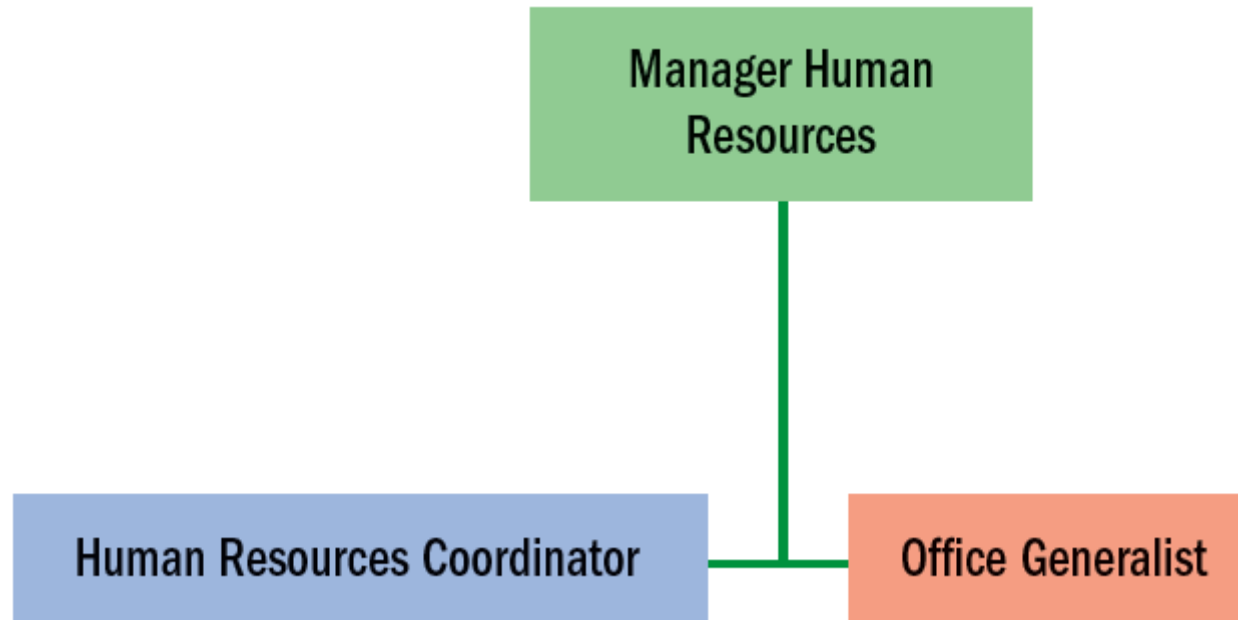
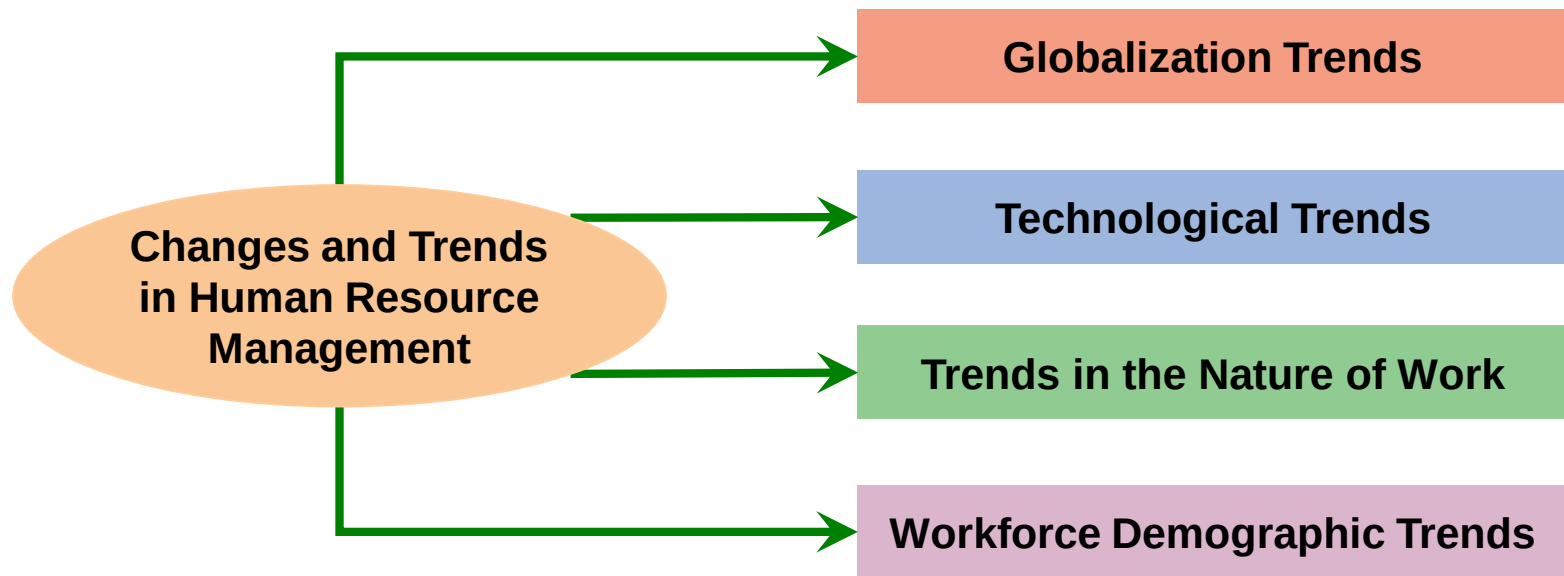


FIGURE 1–2 **HR Organizational Chart (Small Company)**



The Changing Environment of Human Resource Management



The Changing Role of Human Resource Management



TABLE 1–2 Technological Applications for HR

Application Service Providers (ASPs) and technology outsourcing

Web portals

PCs and high-speed access

Streaming desktop video

The mobile Web and wireless net access

E-procurement

Internet- and network-monitoring software

Bluetooth

Electronic signatures

Electronic bill presentment and payment

Data warehouses and computerized analytical programs

High-Performance Work System Practices

- Employment security
- Selective hiring
- Extensive training
- Self-managed teams/decentralized decision making
- Reduced status distinctions
- Information sharing
- Contingent (pay-for-performance) rewards
- Transformational leadership
- Measurement of management practices
- Emphasis on high-quality work

Benefits of a High-Performance Work System (HPWS)

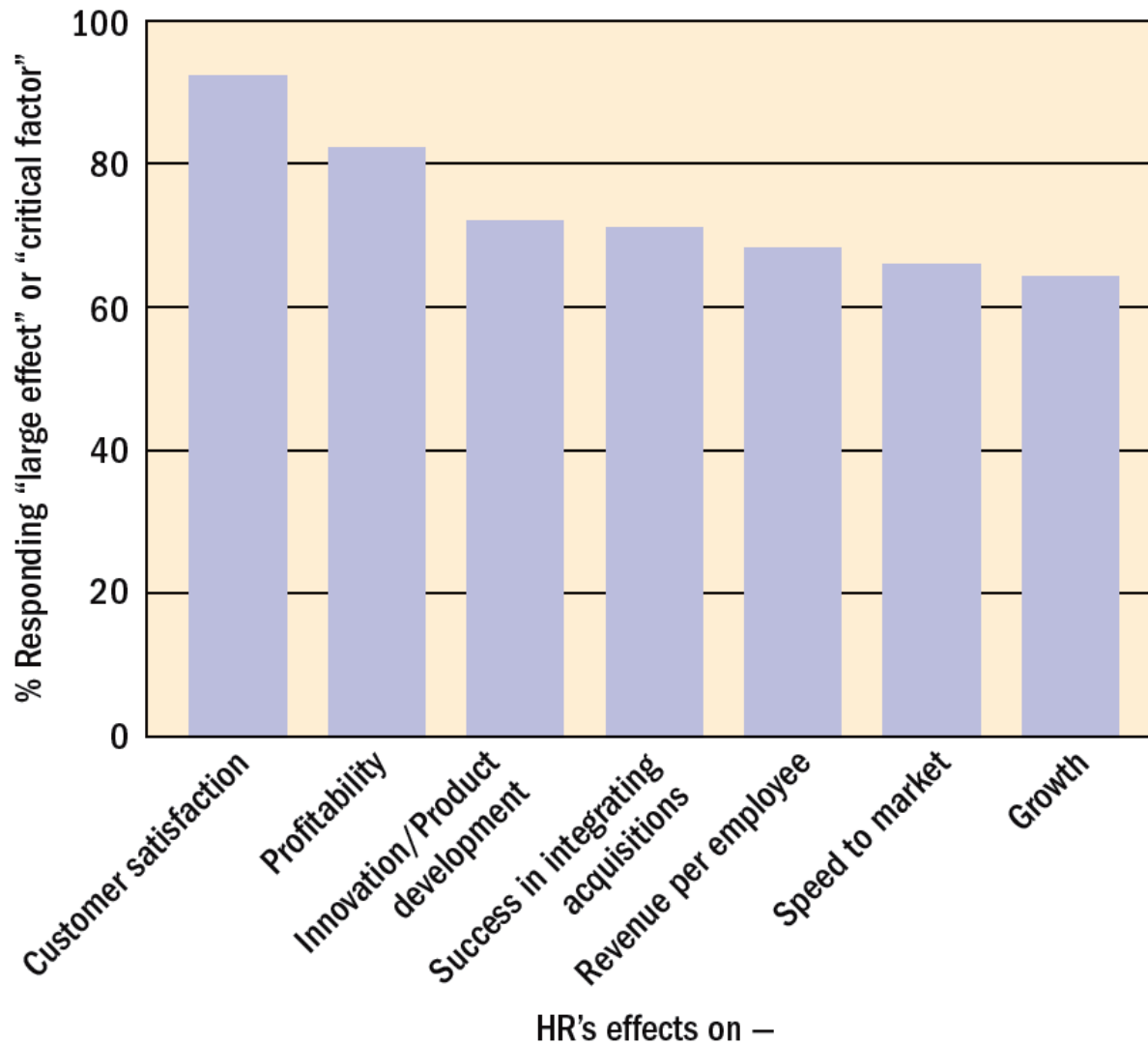
- Generate more job applicants
- Screen candidates more effectively
- Provide more and better training
- Link pay more explicitly to performance
- Provide a safer work environment
- Produce more qualified applicants per position
- Hiring based on validated selection tests
- Provide more hours of training for new employees
- Conduct more performance appraisals

The Human Resource Manager's Proficiencies

- New Proficiencies
 - HR proficiencies
 - Business proficiencies
 - Leadership proficiencies
 - Learning proficiencies



FIGURE 1–8 Effects CFOs Believe Human Capital Has on Business Outcomes



The Human Resource Manager's Proficiencies (continued)

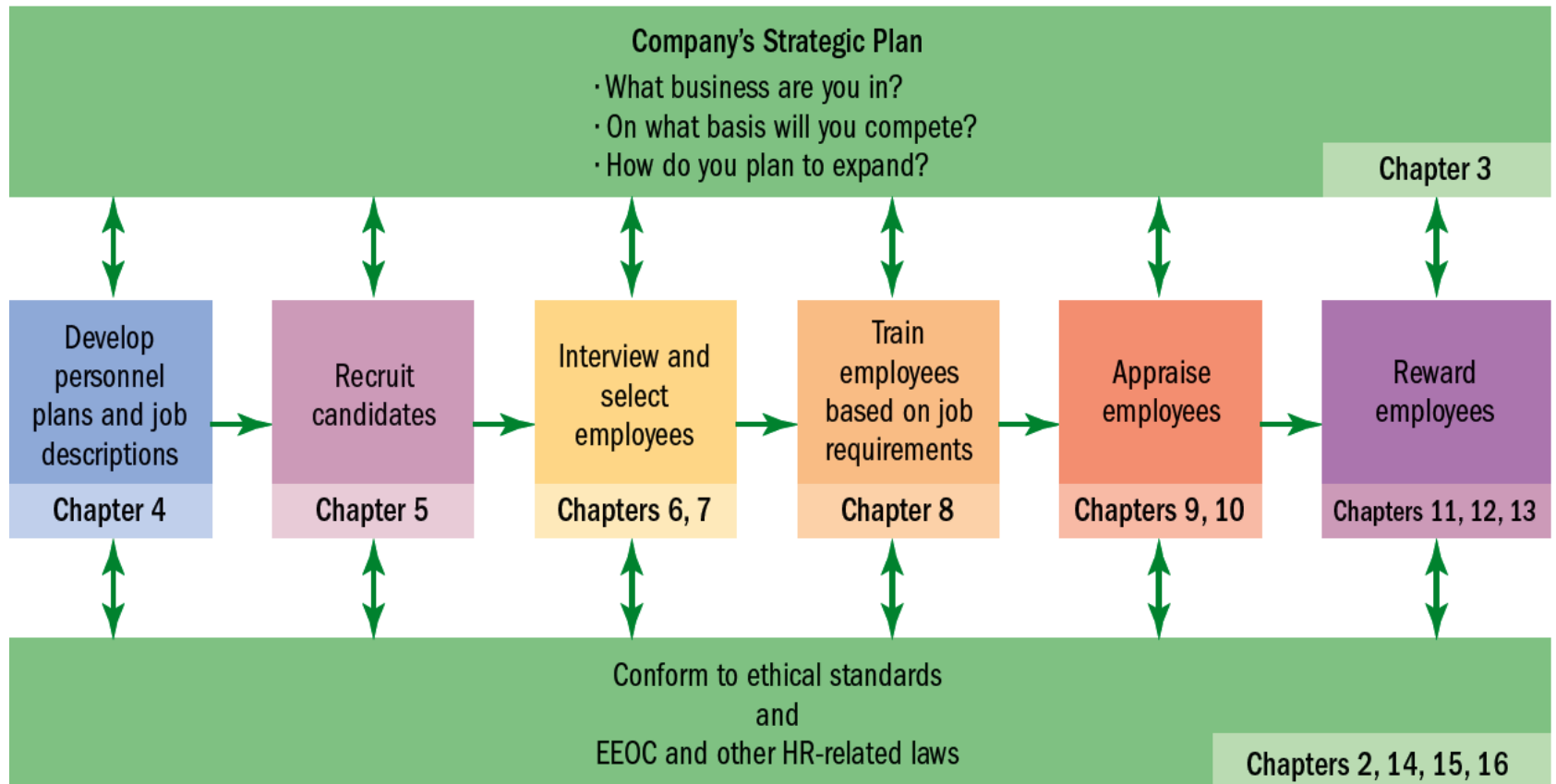
- Managing within the Law
 - Equal employment laws (US)
 - Industrial Disputes Act of 1947
 - Occupational safety and health laws
 - Other labor laws
- Managing Ethics
 - Ethical lapses
 - Sarbanes-Oxley in 2003
 - Securities and Exchange Board of India (SEBI)
 - Ministry of Corporate Affairs (MCA)



The Plan of This Book: Basic Themes

- HRM is *the responsibility of every manager*.
- HR managers must defend their plans and contributions in measurable terms.
- All personnel actions and decisions have strategic implications.
- All managers rely on information technology.
- Virtually every personnel decision has legal implications.

FIGURE 1–9 Strategy and the Basic Human Resource Management Process



KEY TERMS

management process

human resource management
(HRM)

authority

line manager

staff manager

line authority

staff authority

implied authority

functional control

employee advocacy

globalization

human capital

strategy

strategic plan

outsourcing

ethics

strategic human resource
management

high-performance work system

Human Resource Management

TWELFTH EDITION



Gary Dessler | Biju Varkkey

ALWAYS LEARNING

PEARSON

Human Resource Management

TWELFTH EDITION

GARY DESSLER

BIJU VARKEY

Part 1 | Introduction

Chapter 1 Appendix

Evolution and Challenges Faced in India

HRM in India

In the 1970s and 1980s typical HRM functions in organization included:

- Personnel and administration
- Industrial relations
- Labor welfare

Up to the mid-80s human resource management in Indian organizations grew through various phases under the influence of the following factors:

- A philanthropic viewpoint about doing good for workers
- A legislative framework
- Government policies
- Trade unions
- Emerging trends/concepts in management
- Changes in the economy

Management Challenges for Indian CEOs

A study among Indian CEOs identified the following challenges:

- Creating a high-performance culture
- Retaining talent
- Recruiting
- Moving from a patriarchic and hierarchical management style to a more team-based, informal organizational culture
- Linking training with performance
- Compensating knowledge workers
- Building interpersonal relationships/managing conflict
- Going global

Shift to Human Resource Development Orientation

- The 1980s saw the large-scale introduction of the developmental concept in Indian organizations
- Udai Pareek and T. V. Rao, faculty of IIM Ahmedabad, introduced the human resource development (HRD) concept in India

Total Human Resource Management

- Opening up of the Indian economy created a demand for talent and the traditional organizations (both in public and private sectors) became talent sources.
- Development of the Information Technology sector mobilized a vast pool of technically trained people.
- Massive staffing requirements saw recruitment evolving as very specialized function, separate from but closely interlinked with the other HRM functions.
- Arrival of the “knowledge worker”—well-skilled, individualistic, and ambitious about career caused attrition to become common.

Total Human Resource Management (continued)

- Introduction of IT-supported solution, particularly ERP-based human resource information systems
- Introduction of innovative HR practices.
- Rise of IT-enabled services (ITES), gave employment opportunities to the young English speaking, educated population.
- HRM function assumed a strategic role in Indian organizations, responding to business requirements in an appropriate way.